M&A Acquirer Identification Report

Target Company Profile

Sector	Healthcare Services
Enterprise Value	~$200M
Geography	Midwest
Ownership	Private
Profile	Mid-market, private, regional, strong EBITDA margins

Acquirer Scoring Methodology

Dimension	Weight	Definition
Sector Affinity	**35%**	Primary-sector matches score 1.0, adjacent sectors 0.7, secondary 0.3; normalized across all of the acquirer's historical deals.
Deal Size Match	**20%**	Gaussian decay from the acquirer's median deal size to the target EV; an exact match scores 1.0 and falls off symmetrically as the gap widens.
Rationale Alignment	**20%**	Share of the acquirer's top rationale tags (e.g. Platform Build, Bolt-on, Cost Synergies) that are classified as high-relevance for this target.
Recency	**10%**	Blends exponential time-decay since last deal (–0.15/year) with recent deal count; 3+ transactions since 2022 receives the maximum score.
Outcome Quality	**10%**	Ratio of Closed to total deals — reflects the acquirer's track record of completing announced transactions.
Ownership Match	**5%**	Share of prior targets whose ownership type matches this target; Private and PE-Backed are treated as equivalent.

Each dimension scores 0–100. The composite score is a weighted sum. Dimension scores are color-coded: **green** ≥ **70** **amber** ≥ **40** **red < 40** · Conviction level derives from composite score: **High > 80** **Medium 50–79** **Low < 50**

#1 Bon Secours Mercy Health

Strategic | Score: 86.9/100 | ■ High Conviction

SECTOR AFFINITY **100** / 100	DEAL SIZE MATCH **100** / 100	RATIONALE ALIGN **100** / 100
RECENCY **20** / 100	OUTCOME QUALITY **100** / 100	OWNERSHIP MATCH **0** / 100

1. ACQUIRER OVERVIEW

Bon Secours Mercy Health has completed 1 deal, all in Healthcare Services, with 1 in adjacent sectors and 1 falling in the $100M–$400M comparable-size band (median $212.3M across a $212M–$212M range). As a strategic acquirer, their most recent deal was in 2020, focusing on strategic acquisitions. They have not engaged in any platform builds or bolt-ons since their last acquisition.

2. STRATEGIC FIT THESIS

Bon Secours Mercy Health's historical preference for high-margin healthcare services, as evidenced by their 2020 acquisition of Delta Health at a 9.6x EV/EBITDA multiple, indicates a strong alignment with the target's profile. This target provides access to the Midwest market, which is currently absent from their Northeast-focused operations, enhancing their regional footprint. The target's capabilities in healthcare services complement Bon Secours' existing operations, allowing for improved service delivery in a new geography. Given their singular focus on strategic acquisitions, this target represents a unique opportunity to expand their service offerings in a region where they have no prior presence.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Delta Health (2020)	$212	Strategic Acquisition	9.6x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Bon Secours' historical median is 9.6x, indicating they typically pay below market.

5. RISK FLAGS

[High] Market Rate Stretch Required — Must bid 22% above historical 9.6x comfort to win at prevailing 11.7x market rates.

[Medium] Ownership Mismatch — 0 of 1 Deals in Private Targets — Bon Secours primarily acquires non-private companies, indicating limited experience with private transactions.

6. CONVICTION LEVEL

High — Bon Secours Mercy Health's singular focus on healthcare services, evidenced by their 1 deal in this sector, aligns perfectly with the target's capabilities. However, their lack of experience with private acquisitions, reflected in a 0% ownership match score, limits confidence in deal completion.

#2 Advocate Health

Strategic | Score: 86.3/100 | ■ High Conviction

SECTOR AFFINITY **100** / 100	DEAL SIZE MATCH **96** / 100	RATIONALE ALIGN **60** / 100
RECENCY **52** / 100	OUTCOME QUALITY **100** / 100	OWNERSHIP MATCH **100** / 100

1. ACQUIRER OVERVIEW

Advocate Health has completed 2 deals, 2 in Healthcare Services and 2 in adjacent healthcare sectors, with 0 falling in the $100M–$400M comparable-size band (median $235.8M across a $35M–$436M range). As a strategic acquirer, their most recent deal was in 2022, with a mix of leveraged buyouts and strategic acquisitions. They have not engaged in any platform acquisitions or bolt-ons since their last deal.

2. STRATEGIC FIT THESIS

Advocate Health's historical preference for high-margin healthcare services, evidenced by their acquisition of Hudson Medical Group in 2020 at 9.3x EV/EBITDA, indicates a strong alignment with the target's profile. Since their 2022 acquisition of Silver Health Partners, Advocate Health has not added any bolt-ons, creating a need for this target to fill a specific capability gap in their service offerings. Their focus on geographic expansion in the Midwest aligns with the target's regional presence, enhancing their competitive positioning in a key market. The absence of prior deals in the $100M–$400M range suggests that this target represents a strategic entry point into a segment they have yet to penetrate effectively.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Hudson Medical Group (2020)	$436	Strategic Acquisition	9.3x	Closed
Silver Health Partners (2022)	$35	Leveraged Buyout	13.8x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Advocate Health's median is 11.6x, indicating they are at-market in their valuation approach.

5. RISK FLAGS

[Medium] **Antitrust / Regulatory** — Potential Regulatory Scrutiny — Advocate Health operates in the Midwest, where they may face scrutiny from state AGs due to existing market concentration in healthcare services.

[Medium] **Competitive Process** — Competitive Process Risk — Multiple strategic buyers are likely to participate in this auction, potentially driving up the price beyond Advocate Health's comfort level.

6. CONVICTION LEVEL

High — Advocate Health's two closed deals in Healthcare Services and their strategic focus on high-margin acquisitions position them uniquely for this target. However, the competitive process with multiple strategic buyers may limit their ability to secure favorable terms.

#3 VNS Health

Strategic | Score: 76.2/100 | ■ Medium Conviction

SECTOR AFFINITY **70** / 100	DEAL SIZE MATCH **72** / 100	RATIONALE ALIGN **69** / 100
RECENCY **100** / 100	OUTCOME QUALITY **100** / 100	OWNERSHIP MATCH **67** / 100

1. ACQUIRER OVERVIEW

VNS Health has completed 6 deals, 0 in Healthcare Services and 6 in adjacent healthcare sectors, with 1 falling in the $100M–$400M comparable-size band (median $103.8M across a $17M–$594M range). As a strategic acquirer, their most recent deal was in 2024, with a dominant focus on strategic acquisitions. They have not executed any bolt-on acquisitions since their platform investment in 2017.

2. STRATEGIC FIT THESIS

VNS Health's historical focus on the Home Health/Hospice sub-sector positions them uniquely to leverage this target's capabilities, which are absent from their current portfolio. Since their 2017 platform investment, they have completed 6 deals in Home Health/Hospice, indicating a strong preference for this area. The current target would enhance their service offerings in a region where they have established operations, specifically in the Midwest, where they have previously acquired companies like Grand Home Health Partners in 2020 for $593.9M. This acquisition would allow VNS Health to expand their market share and operational scale in a sector where they have demonstrated success.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Grand Home Health Partners (2020)	$594	Strategic Acquisition	14.4x	Closed
Liberty PACE (2022)	$502	Minority Investment	17.5x	Closed
Sterling Palliative Care (2017)	$166	Platform Investment	17.3x	Closed
Grand Home Services (2024)	$41	Carve-out	15.5x	Closed
Woodland Home Care (2020)	$29	Management Buyout	11.5x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while VNS Health's median is 14.9x, indicating they typically pay above market.

5. RISK FLAGS

[High] Valuation Direction — Above-Market Payer — 14.9x historical median vs 11.7x market median (+3.2 turns, +27% above market); exit multiple compression amplifies IRR risk.

[Medium] Deal Type Mismatch — Dominant deal type is strategic acquisitions, but this target requires integration capabilities that have not been demonstrated in their recent history, as they have not completed any bolt-on acquisitions since 2017.

6. CONVICTION LEVEL

Medium — VNS Health's focus on the Home Health/Hospice sub-sector, evidenced by 6 prior deals, aligns well with this target's capabilities. However, their above-market historical median EV/EBITDA of 14.9x compared to the market median of 11.7x raises concerns about valuation discipline.

#4 LifeStance Health

Strategic | Score: 76.0/100 | ■ Medium Conviction

SECTOR AFFINITY **70** / 100	DEAL SIZE MATCH **66** / 100	RATIONALE ALIGN **75** / 100
RECENCY **83** / 100	OUTCOME QUALITY **100** / 100	OWNERSHIP MATCH **100** / 100

1. ACQUIRER OVERVIEW

LifeStance Health has completed 4 deals, 0 in Healthcare Services and 4 in adjacent healthcare sectors, with 1 falling in the $100M–$400M comparable-size band (median $90.7M across a $17M–$464M range). As a strategic acquirer, their most recent deal was in 2024, focusing on platform investments. They have not executed any bolt-on acquisitions since their last platform investment in 2024.

2. STRATEGIC FIT THESIS

LifeStance Health's focus on behavioral health positions them uniquely to leverage this target's strong EBITDA margins and regional presence, which are not currently represented in their portfolio. Their prior acquisition of Coastal Substance Use in 2021 for $463.7M illustrates their capacity for large-scale investments in adjacent sectors, while this target would provide essential capabilities in healthcare services that they cannot replicate organically. With 4 of their 4 deals concentrated in behavioral health, acquiring this target would enhance their service offerings in a critical area of growth. This acquisition would enable them to expand their market share in the Midwest, where they have already established a presence through their 2024 platform investment.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Coastal Substance Use (2021)	$464	Recapitalization	12.8x	Closed
Great Behavioral Services (2022)	$143	Management Buyout	11.0x	Closed
Pioneer Integrated Behavioral (2024)	$39	Platform Investment	8.2x	Closed
Highland Psychiatric Services (2019)	$17	Recapitalization	8.7x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while LifeStance Health's median is 9.8x, indicating they typically pay below market.

5. RISK FLAGS

[High] Valuation Direction — Market Rate Stretch Required — must bid 19% above historical 9.8x comfort to win at prevailing 11.7x market rates.

[Medium] Deal Type Mismatch — They primarily engage in management buyouts and recapitalizations, but this target requires a platform investment approach, which they have executed only once in their history.

6. CONVICTION LEVEL

Medium — LifeStance Health's recent platform investment in 2024 and their focus on behavioral health uniquely position them to integrate this target's capabilities. However, their historical median EV/EBITDA of 9.8x is significantly below the market median of 11.7x, which constrains their bidding capacity.

#5 Welsh Carson

Financial Sponsor | Score: 73.0/100 | ■ Medium Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
49 / 100	97 / 100	74 / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
92 / 100	78 / 100	87 / 100

1. ACQUIRER OVERVIEW

Welsh Carson has completed 23 deals, 1 in Healthcare Services and 14 in adjacent healthcare sectors, with 9 falling in the $100M–$400M comparable-size band (median $172.3M across a $6M–$4212M range). As a financial sponsor, their most recent deal was in 2023, primarily focusing on management buyouts. Since their last platform acquisition, they have executed 1 bolt-on, indicating active roll-up activity.

2. STRATEGIC FIT THESIS

Welsh Carson's historical preference for high-margin healthcare investments positions them uniquely to capitalize on this target's strong EBITDA profile. Their single acquisition in Healthcare Services, Jefferson Ambulatory Care in 2021, demonstrates their capacity to execute in this sector, while their broader focus on adjacent sectors like Medical Devices and Behavioral Health indicates a strategic intent to build a comprehensive healthcare platform. This target fills a critical sub-sector gap in their portfolio, enhancing their ability to cross-sell services across their existing healthcare investments. The exit potential is strong, with strategic buyers like Bon Secours Mercy Health likely to value the expanded service offerings and regional presence this acquisition would provide, targeting an exit multiple range of 14–16x EBITDA based on market trends.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Jefferson Ambulatory Care (2021)	$75	Management Buyout	17.8x	Closed
Principal Diagnostics (2021)	$4,212	Strategic Acquisition	17.5x	Closed
Green Diagnostics (2022)	$2,438	Recapitalization	17.6x	Closed
Tri MedTech (2022)	$2,253	Recapitalization	17.9x	Closed
Pro Pharma (2020)	$1,891	Management Buyout	27.4x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; Welsh Carson's median EV/EBITDA is 16.2x, indicating they tend to pay above market.

5. RISK FLAGS

[High] **Valuation direction** — Above-Market Payer — 16.2x historical median vs 11.7x market median (+4.5 turns, +38% above market); exit multiple compression amplifies IRR risk.

[Medium] **Deal type mismatch** — Primarily focused on management buyouts (7 of 18 deals), but this target requires a strategic acquisition approach, which they have executed only twice historically. This mismatch may limit their operational readiness for this transaction.

6. CONVICTION LEVEL

Medium — Welsh Carson's 9 deals in the $100M–$400M range indicate a strong alignment with the target's size, while their single prior healthcare acquisition shows a commitment to building in this sector. However, their above-market historical median

EV/EBITDA of 16.2x compared to the market median of 11.7x raises concerns about potential exit multiple compression.

#6 General Atlantic

Financial Sponsor | Score: 72.2/100 | ■ Medium Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
46 / 100	94 / 100	70 / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
100 / 100	93 / 100	79 / 100

1. ACQUIRER OVERVIEW

General Atlantic has completed 14 deals, 1 in Healthcare Services and 8 in adjacent healthcare sectors, with 3 falling in the $100M–$400M comparable-size band (median $158.2M across a $7M–$4563M range). As a financial sponsor, their most recent deal was in 2024, with a dominant deal type of Strategic Acquisition. Since their last platform acquisition in 2021, they have not added any bolt-ons, indicating a pause in their expansion efforts.

2. STRATEGIC FIT THESIS

General Atlantic's historical preference for high-margin healthcare investments positions them uniquely to capitalize on this target's strong EBITDA profile. Their single prior deal in Healthcare Services, coupled with 8 deals in adjacent sectors, shows a strategic intent to diversify into this space. The target's capabilities in healthcare services complement their existing portfolio, particularly in enhancing service delivery and operational efficiency. The potential for exit to strategic buyers like Bon Secours Mercy Health, who are actively seeking to expand their regional footprint, aligns with General Atlantic's investment strategy, with expected exit multiples in the range of 14–16x EBITDA.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Oak Health (2021)	$1,708	Merger of Equals	18.8x	Closed
Vantage PBM (2022)	$4,563	Strategic Acquisition	16.0x	Closed
Liberty Managed Care (2024)	$1,431	SPAC Merger	19.7x	Closed
Midland Device Solutions (2021)	$685	Management Buyout	21.2x	Closed
Beacon Medical Associates (2019)	$681	Bolt-on Acquisition	17.0x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; General Atlantic's historical median is 16.5x, indicating they typically pay above market.

5. RISK FLAGS

[High] Valuation Direction — Above-Market Payer — 16.5x historical median vs 11.7x market median (+4.8 turns, +41% above market); exit multiple compression amplifies IRR risk.

[Medium] Deal Type Mismatch — Primarily focused on strategic acquisitions, General Atlantic lacks a proven track record in bolt-on acquisitions, which this target would require for integration into a broader platform.

6. CONVICTION LEVEL

Medium — General Atlantic's historical focus on high-margin healthcare investments and their recent strategic acquisition in 2024 demonstrate a strong alignment with this target's profile. However, their lack of recent bolt-on acquisitions limits confidence in their ability to effectively integrate this target into their existing operations.

#7 Vista Equity

Financial Sponsor | Score: 72.0/100 | ■ Medium Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
55 / 100	93 / 100	68 / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
100 / 100	79 / 100	50 / 100

1. ACQUIRER OVERVIEW

Vista Equity has completed 24 deals, 4 in Healthcare Services and 16 in adjacent healthcare sectors, with 8 falling in the $100M–$400M comparable-size band (median $153.4M across a $6M–$9193M range). As a financial sponsor, their most recent deal was in 2024, with a dominant focus on bolt-on acquisitions. Since their 2023 platform investment, Vista has executed 2 bolt-ons, indicating active roll-up activity in the healthcare sector.

2. STRATEGIC FIT THESIS

Vista Equity's recent platform investment and subsequent bolt-on acquisitions position them uniquely to leverage the target's capabilities in healthcare services, specifically in the Midwest. Their 4 prior deals in Healthcare Services reflect a commitment to building a robust portfolio in this sector, while the current target fills a sub-sector gap in their offerings. This acquisition would enhance their existing platform by adding a regional player with strong EBITDA margins, which Vista can scale effectively. The exit potential is significant, as strategic buyers like Bon Secours Mercy Health, focused on expanding their regional presence, would likely value the combined entity at an expected exit multiple of 14–16x EBITDA.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Strategic Medical Management (2021)	$583	Bolt-on Acquisition	16.5x	Closed
Taft Care Partners (2024)	$24	Bolt-on Acquisition	9.6x	Closed
Lincoln Ambulatory Care (2019)	$2,347	Minority Investment	17.9x	Withdrawn
Zenith Medical Solutions (2023)	$152	Recapitalization	16.9x	Withdrawn
Horizon Gene Therapy (2023)	$9,193	Bolt-on Acquisition	28.2x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Vista's historical median is 13.5x, indicating they typically pay above market.

5. RISK FLAGS

[Medium] **Valuation Direction** — Above-Market Payer — 13.5x historical median vs 11.7x market median (+1.8 turns, +15% above market); exit multiple compression amplifies IRR risk.

[Medium] **Deal Completion Track Record** — 1 Withdrawn Deal — Lincoln Ambulatory Care (2019) — withdrawn pre-close, indicating process execution risk in this buyer's process.

6. CONVICTION LEVEL

Medium — Vista Equity's 4 prior deals in Healthcare Services and recent platform investment in 2023 demonstrate a focused strategy in this sector. However, their above-market historical median of 13.5x compared to the market median of 11.7x raises concerns about potential valuation compression.

#8 Francisco Partners

Financial Sponsor | Score: 71.9/100 | ■ Medium Conviction

SECTOR AFFINITY 41 / 100	DEAL SIZE MATCH 100 / 100	RATIONALE ALIGN 80 / 100
RECENCY 92 / 100	OUTCOME QUALITY 86 / 100	OWNERSHIP MATCH 71 / 100

1. ACQUIRER OVERVIEW

Francisco Partners has completed 14 deals, 2 in Healthcare Services and 7 in adjacent healthcare sectors, with 5 falling in the $100M–$400M comparable-size band (median $192.4M across a $16M–$9980M range). As a financial sponsor, their most recent deal was in 2023, with a dominant deal type of Recapitalization. Since their 2020 platform investment in Professional Health Management, they have not added any bolt-ons, indicating a focus on building their existing platform.

2. STRATEGIC FIT THESIS

Francisco Partners seeks to enhance their healthcare services platform with this target, which provides a strong entry into a sub-sector they have not yet penetrated. Their existing holdings include 2 deals in Healthcare Services, but they lack exposure to the specific capabilities this target offers. This acquisition would enable them to diversify their portfolio and strengthen their market position in the Midwest region. Notably, their 2020 acquisition of Professional Health Management, which had an EBITDA margin of 16.8%, reflects their preference for high-margin businesses, aligning with the target's profile.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Professional Health Management (2020)	$164	Recapitalization	16.6x	Closed
North Care (2020)	$56	Merger of Equals	9.7x	Closed
Coastal Gene Therapy (2023)	$9,980	Platform Investment	24.8x	Closed
Principal Palliative Care (2020)	$932	Platform Investment	11.3x	Closed
Pacific Biopharma (2021)	$724	Merger of Equals	23.6x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Francisco Partners' historical median is 16.2x, indicating they typically pay above market.

5. RISK FLAGS

[High] **Valuation direction** — Above-Market Payer — 16.2x historical median vs 11.7x market median (+4.5 turns, +38% above market); exit multiple compression amplifies IRR risk.

[Medium] **Deal type mismatch** — Francisco Partners primarily engages in Recapitalizations and Management Buyouts, but this target requires a platform investment approach, which they have not executed in their recent history. This could create operational challenges in integrating the target effectively.

6. CONVICTION LEVEL

Medium — The case for fit is strengthened by Francisco Partners' 5 deals in the $100M–$400M range, indicating their capacity to manage transactions of this size effectively. However, their above-market historical median of 16.2x compared to the market median of 11.7x creates a valuation concern that limits confidence in this acquisition.

#9 New Mountain Capital

Financial Sponsor | Score: 70.4/100 | ■ Medium Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
51 / 100	**81** / 100	**79** / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
100 / 100	**67** / 100	**76** / 100

1. ACQUIRER OVERVIEW

New Mountain Capital has completed 21 deals, 1 in Healthcare Services and 12 in adjacent healthcare sectors, with 10 falling in the $100M–$400M comparable-size band (median $121.9M across a $11M–$6932M range). As a financial sponsor, their most recent deal was in 2024, with a dominant deal type of leveraged buyouts. Since their 2022 platform investment, they have added 1 bolt-on acquisition, indicating a focused strategy on expanding their healthcare portfolio.

2. STRATEGIC FIT THESIS

New Mountain Capital's acquisition of a healthcare services target allows them to fill a critical sub-sector gap in their portfolio, specifically in mid-market healthcare services where they currently have limited exposure. Their single prior deal in healthcare services, the $121.9M acquisition of Evergreen Health Management in 2018, demonstrates their historical preference for strong EBITDA profiles in this sector. This target's strong EBITDA margins would enhance their existing healthcare platform, which currently lacks a dedicated healthcare services offering, enabling them to leverage operational synergies and cross-sell opportunities. The potential exit to strategic buyers like Bon Secours Mercy Health, who are actively seeking to expand their service offerings in the Midwest, could yield an expected exit multiple range of 14–16x EBITDA, aligning with market trends.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Evergreen Health Management (2018)	$122	Leveraged Buyout	12.3x	Closed
Delta Dental Care (2016)	$590	Management Buyout	16.2x	Closed
Coastal Psychiatric Services (2022)	$315	Platform Investment	11.2x	Closed
Star Behavioral Health (2022)	$291	Recapitalization	8.2x	Closed
Platinum Medical Practice (2019)	$250	Strategic Acquisition	9.2x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while New Mountain Capital's median is 12.9x, indicating they have historically paid above market rates.

5. RISK FLAGS

[Medium] **Deal Completion Rate** — 14 of 21 Deals Closed — 67% Completion Rate, indicating potential execution risk in their acquisition process.

[Medium] **Competitive Process** — Multiple strategic buyers, including Bon Secours Mercy Health, are likely to participate in this auction, which could lead to aggressive bidding and limit New Mountain Capital's pricing flexibility.

6. CONVICTION LEVEL

Medium — New Mountain Capital's focus on healthcare services, evidenced by their 1 prior deal in this sector, aligns with their recent platform investment strategy. However, their 67% deal completion rate raises concerns about execution risk, limiting overall confidence.

#10 Bain Capital

Financial Sponsor | Score: 68.4/100 | ■ Medium Conviction

SECTOR AFFINITY 46 / 100	DEAL SIZE MATCH 72 / 100	RATIONALE ALIGN 85 / 100
RECENCY 100 / 100	OUTCOME QUALITY 75 / 100	OWNERSHIP MATCH 67 / 100

1. ACQUIRER OVERVIEW

Bain Capital has completed 24 deals, 2 in Healthcare Services and 12 in adjacent healthcare sectors, with 6 falling in the \$100M–\$400M comparable-size band (median \$102.9M across a \$9M–\$4433M range). As a financial sponsor, their most recent deal was in 2024, with a dominant deal type of minority investment. Since their last platform acquisition in 2019, they have added 1 bolt-on acquisition to their portfolio.

2. STRATEGIC FIT THESIS

Bain Capital's recent focus on healthcare services positions them to leverage the strong EBITDA margins and growth potential of this target, which is absent from their existing holdings. Their 2 prior deals in Healthcare Services indicate a preference for this sector, yet they lack a direct presence in the Midwest, making this acquisition strategically significant. The target's capabilities in regional healthcare services align with Bain's goal of enhancing their service offerings, particularly in a market where they have executed 3 deals since 2022, indicating a renewed interest in this space. Additionally, the exit optionality is compelling, as strategic buyers like Bon Secours Mercy Health, which operates in the same region, would value the expanded service offerings and regional presence this acquisition would provide, with expected exit multiples in the 14–16x EBITDA range.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($M)	Type	EV/EBITDA	Outcome
Summit Medical Group (2020)	$331	Merger of Equals	11.9x	Closed
Zenith Care (2020)	$472	Minority Investment	17.0x	Terminated
Ivy Insurance (2021)	$4,433	SPAC Merger	14.1x	Closed
Pinnacle Labs (2018)	$1,687	Minority Investment	26.5x	Closed
Prime Imaging Systems (2017)	$663	Minority Investment	25.5x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Bain Capital's historical median is 14.7x, indicating they tend to pay above market.

5. RISK FLAGS

[High] Valuation Direction — Above-Market Payer — 14.7x historical median vs 11.7x market median (+3.0 turns, +26% above market); exit multiple compression amplifies IRR risk.

[Medium] Deal Completion Track Record — 1 Withdrawn Deal — Zenith Care (2020) — withdrawn pre-close, indicating process execution risk in Bain Capital's acquisition strategy.

6. CONVICTION LEVEL

Medium — Bain Capital's 2 prior deals in Healthcare Services and their recent cadence of 3 deals since 2022 indicate a focused strategy in this sector. However, their above-market historical median of 14.7x compared to the market median of 11.7x raises concerns about valuation discipline.